

A household divided in its financial orientation is unlikely to accumulate significant wealth.

Even worse are cases in which both the wife and her husband are spendthrifts. This is the domestic situation the Souths find themselves in today. Interestingly, Dr. South reported to us that he is the “tightwad” in his household. Is he? True, he takes aim at the shopping and consumption habits of his spouse. But spending all or even most of their annual income takes a team effort. Both are hyperconsumers. Both contribute to their lower-than-expected position on the wealth scale.

Let’s evaluate Dr. South’s wealth-building performance. He is responsible for his household’s income. And there is no argument that he is extraordinary in this regard. His performance places him in the 99.5 percentile of all income earners in America. But he is also responsible, in part, for making other decisions for his household. He buys the motor vehicles and financial advice. He also makes investment decisions. But neither he nor his wife does any budgeting for the family.

Mrs. South is responsible for buying the family’s clothing. In one year she spent about \$30,000 on clothes for herself and her family. She also contributed significantly to the decision to spend more than \$40,000 for country club fees and related expenses. Both decided to spend \$107,000 per year in mortgage payments. Most UAWs will tell you that their big mortgage helps reduce their taxable income. Of course, if the Souths keep saving money this way, they may never be able to retire.

Often people who purchase expensive homes and automobiles are criticized for their extravagant lifestyle. But at least homes, in most cases, hold their value, if only in a nominal sense. Even automobiles hold some value for a few years after they are purchased. Large allocations for homes and automobiles can have a dampening effect on wealth building, but again, at least you can trade up, out, or down with such items. There are worse culprits.

How much is the Souths’ \$30,000 clothing purchase that they made last year worth today? How much will the \$7,000 vacation they recently took be worth tomorrow? How much value is there remaining from the more than \$40,000 they spent last year for country club-related expenses? Add to these gourmet restaurant patronage, maid services, tutors, lawn care/landscaping services, decorating consultants, insurance, and more.

The Souths’ consumption habits are related to the fact that they have no centralized control over their expenditures. Much of their consumption is a function of independent action in this household drama.